Loan Program (FFELP) are loans given by private lenders but are guaranteed by the federal government.

Both types are Stafford loans and carry a fixed interest rate (currently 6.8%). All lenders give the same rate, but you may be able to get a discount for making your payments electronically. These loans also have a set 4% loan fee, which comes right out of the money you receive. The usual term for repayment is ten years, and you have to start repaying six months after graduation.

...you make no payments at all while in school.

The beauty of student loans is that you make no payments at all while in school. Some Stafford loans are subsidized by the government, which means if you have financial need, the government pays the interest while you are a student. If you do not have financial need, you still can get a Stafford loan. It will not be subsidized and you pay the interest along with your payment after you graduate. Most students that receive the interest subsidized loans come from families who have an income of less than $50,000. Only about a quarter of students getting this type of loan have family income of $50,000 to $100,000.

There is another federal loan called the Perkins Loan. The schools have a fund provided by the government for these loans. They decide and disburse the Perkins Loan to students with serious financial need. This loan has only a 5% interest rate so it is the best loan out there, but you have to have real need to get it.

If the loans you are able to get through the federal government are not enough to cover college costs, then a private student loan is needed as well. For federal loans, the credit score is not an issue. However, these private loans fall under the category of regular consumer loans and the rate you get is based upon your credit score. If your FICO credit score is less than 650, you may not qualify for a private student loan. That's yet another reason to stay on top of that credit score. A bump of 30 to 50 points is sometimes all it takes to get a better rate on your loan. As we have talked about, the best interest rate is so important. You'll pay less and have it paid off in less time.